

Factor Payment Practice Worksheet

Calculate factor payments and profit for businesses

Problem 1: Tech Startup

A software company has the following monthly costs and revenue. Calculate the entrepreneur's profit.

Item	Amount
 Land (Rent): Co-working space	\$1,500
 Labor (Wages): 2 developers @ \$6,000 each, 1 designer @ \$4,000	\$_____
 Capital (Interest): Computers & software loan payment	\$300
 Other Costs: Internet, marketing, insurance	\$1,200
 Revenue: SaaS subscriptions (400 users × \$30/month)	\$_____

Step 1: Calculate total labor cost:

Step 2: Calculate total revenue:

Step 3: Calculate total costs (Rent + Wages + Interest + Other):

Step 4: Calculate profit (Revenue - Total Costs):

💡 Entrepreneur's Monthly Profit: \$_____

Problem 2: Family Farm

A 150-acre farm produces crops. Calculate annual profit.

Item	Annual Amount
🌐 Land (Rent): 150 acres @ \$200/acre/year	\$_____
👷 Labor (Wages): 2 family members @ \$30,000 each + seasonal workers \$10,000	\$_____
🏭 Capital (Interest): Tractor & equipment loan @ 6% on \$80,000	\$_____
📦 Other Costs: Seeds, fertilizer, fuel, insurance	\$25,000
💰 Revenue: Crop sales (150 acres × \$450/acre)	\$_____

Step 1: Calculate land rent:

Step 2: Calculate total labor:

Step 3: Calculate capital interest (6% of \$80,000):

Step 4: Calculate total revenue:

Step 5: Calculate total costs:

Step 6: Calculate annual profit:

💡 Entrepreneur's Annual Profit: \$ _____

Problem 3: Your Business Design

Design your own business and calculate projected monthly profit.

Business Name: _____

Business Type: _____

Factor	Description	Monthly Cost
🌐 Land	_____	\$ _____
👷 Labor	_____	\$ _____
🏭 Capital	_____	\$ _____
📦 Other Costs	_____	\$ _____
💰 Projected Monthly Revenue		\$ _____

Total Monthly Costs:

💡 Entrepreneur's Monthly Profit:

Profit Margin ($\text{Profit} \div \text{Revenue} \times 100$):

A healthy profit margin is typically 10-20% for most small businesses.